Module 7: Snowflake — Student Packet

Start here — Snowflake

Read before class (5–8 minutes): the three facts and three terms below. The full blog, company summary, filing, and detailed role pages are optional depth unless a specific passage is assigned.

In class: review the worked example, explain the decision in your own words, then read only your assigned role in the student packet below. Four leads make decisions; the Account Manager integrates them. The packet works without SkillSimm access.

Three essential facts

- Snowflake primarily charges for compute, storage, and data-transfer consumption.
- Net revenue retention declined from 133% to 126% to 125%.
- Operating loss was about $1.4 billion while free cash flow was about $1.1 billion; these are different measures.

Three terms

- Metric: the unit you charge for.
- Level: the amount charged per unit.
- Fence: a rule that separates offers or customer groups.

Worked example — discuss before opening the simulation

Illustrative startup: compare $10 per event with $30 per month. At two events, bills are $20 and $30; at five events, $50 and $30. Discuss which customer each model attracts and what usage costs the venture bears.

Readiness check: What unit are you charging for, and what happens to revenue when the customer uses the product more efficiently? Ask a teammate to explain the task back before starting.

Choose your role

Read the primer above and only your assigned role below. The detailed role pages and full company summary are optional references. Record the decision text, evidence, trade-off, and what would change your mind.

Financial Lead

Decision

Revenue grew 29%, the operating loss was $1.4 billion, and free cash flow was positive $1.1 billion. What do you do?

Your four choices — pick one

- **(A) Cut research and development.** At $1,969.5 million it is 42% of revenue and the single largest expense line in the company.
- **(B) Do nothing structural.** Free cash flow is $1,120.3 million and positive; the GAAP loss is an accounting artifact of how we pay people.
- **(C) Bring sales and marketing down further.** It is 44% of revenue, already down from 50% two years ago, and under a consumption model the meter — not the sales team — is what expands an account.
- **(D) Drive stock-based compensation down as a share of revenue.** At $1,599.5 million it is larger than the entire operating loss, and it is the reason a company with $1.1 billion of free cash flow still reports a $1.3 billion net loss.

Need more evidence? Detailed role reference.

Marketing Lead

Decision

Net revenue retention has fallen from 133% to 125%. Where does the selling effort go?

Your four choices — pick one

- **(A)** Into **locking in longer capacity commitments.** Remaining performance obligations rose to $9,771.5 million — the more customers commit up front, the less any of this matters.
- **(B)** Into **new logos.** Total customers went from 10,996 to 13,328, and a wider base is what stops any single expansion rate from deciding the year.
- **(C)** Into **migrating new workloads inside existing customers.** Under a consumption metric, revenue grows when work moves onto the platform — and the $1 million-plus customer count going from 449 to 733 is what that looks like when it works.
- **(D)** Into **the largest accounts.** 790 Forbes Global 2000 customers are already about 43% of revenue and they have the most workloads left to move.

Need more evidence? Detailed role reference.

Operation Lead

Decision

Every efficiency improvement you ship lets customers pay you less for the same work. What do you do about it?

Your four choices — pick one

- **(A) Slow down the efficiency work on existing workloads** and direct engineering to features we can charge separately for. There is no reason to cut our own meter.
- **(B) Ship the efficiency and go get the freed budget back as new workloads** — the filing itself says lower revenue follows only *"to the extent these improvements do not result in an offsetting increase in new workloads."*
- **(C) Help customers optimize deliberately and openly.** Price-performance is a factor we say we compete on, and the customer who trusts our optimization advice keeps the next workload with us.
- **(D) Broaden what can be metered.** Transactions, AI agents, observability and applications put more kinds of work on the same meter, so one workload getting cheaper matters less.

Need more evidence? Detailed role reference.

Tech Lead

Decision

R&D is $1.97 billion — 42% of revenue — and the revenue model is paid by the unit consumed. What does engineering build?

Your four choices — pick one

- **(A)** Build **price-performance improvements on the core warehouse.** It is the biggest part of consumption and the competitive factor we name first.
- **(B)** Build the **AI layer hardest.** Snowflake Intelligence and Cortex Agents are where new workloads are actually being created right now, and new workloads are what the revenue model needs.
- **(C)** Build for **open formats and interoperability.** Customers are going there anyway, and being the best compute engine over open data keeps us in the transaction even when we lose the storage.
- **(D)** Build the **new categories that put more kinds of work on the meter** — transactions, AI agents, observability — because a consumption model is only as big as the range of work it can measure.

Need more evidence? Detailed role reference.

Account Manager

Hear the four leads; rank Money, The paradox, Expansion, The roadmap from 1–4 and distribute 100 priority points in blocks of 10. Defend the first priority with evidence, describe one trade-off, and name a condition that would change your ranking. There is no required ranking independent of your reasoning.

Save before leaving

Decision → evidence and source → trade-off → change after discussion → concept and venture application. Keep your own copy for the reflection.

Venture workshop

Compare two pricing models for your venture. Calculate the customer bill at low and high usage, identify a cost assumption, and justify one model. **Output:** A pricing comparison and recommendation for Final Section D.

Submission

Submit your individual reflection in the existing HuskyCT assignment at its current deadline. Use the five headings in the reflection guide; from October 20 onward, aim for 300–500 words. The workshop is project preparation, not a separate new graded submission.